

Qorvo Inc (Ticker: NASDAQ: QRVO)
Recommendation: Conditional Buy 18-36 months

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Qorvo Inc. (NYSE: QRVO)	
Share Price (as of)	\$106.43
Shares Out.	88.01M
Market Cap	\$9,370,000
Cash	\$1,021,176
Debt	\$1,549,215
TEV	\$9,898,039
FY24 EBITDA	506604
EV / FY24 EBITD	\$19.54
Base Case Valuation Summary:	
FY27 EBITDA:	791017.0208
Target Multiple	13
EV	\$10,283,221
Net Debt	\$486,783
Market Cap	\$9,796,438
Shares Out.	92300
3-Year Price Target	\$106.14
Total Return:	101%
IRR	26%



Executive Summary

Qorvo is an undervalued RF Semiconductor business trading at 19x EBITDA- Slightly under the industry median of 21x- with a clear gross margin recovery in place (36% in 2023 - 41% in 2025), a rapid deleveraging balance sheet (net leverage collapsed from 2.7x in FY23 to 1.0x in FY25), and \$484M in annual FCF that is being discounted due to Apple concentration fear. The pending Skyworks merger at a combined \$22B enterprise value signifies value and creates a scaled independent RF supplier capable of competing with Murata. At \$106.43, Qorvo is a conditional buy for long-term investors within an 18-36 month time frame. The weighted fair value of \$102-\$108 implies a fair value today alone, but the merger creates upside of \$145-\$160 (+36-50%) if synergies materialize, against a protected downside of \$75-\$88 (-17- 29%) if the deal breaks – because the underlying FCF- generative business is not broken.

Business Overview

Qorvo, Inc is an integrated device manufacturer (IDM) of radio frequency (RF) semiconductor solutions headquartered in Greensboro, North Carolina. The company designs, develops, and manufactures RF solutions for mobile devices, defense, infrastructure, and IoT applications. It operates in three segments: Advanced Cellular & Connectivity Groups (ACG, ~60% of revenue), High Performance Analog (HPA, Industrial, defense, infrastructure), and Connectivity & Sensors Group (CSG, IoT/ Wi-Fi/ Bluetooth). Qorvo serves the full RF signal chain – from filters and power amplifiers to front end modules – and is one of two companies globally (alongside Skyworks) with the scale and IP capabilities to supply complete RF front-end solutions to major smartphone OEMs.

Investment Thesis

1. A deeply undervalued FCF machine

Qorvo's most important financial characteristic is the wide gap between GAAP earnings and economic cash generation. In FY2025, the company reported just \$56M in GAAP net income (1.5% margin) while generating \$622M in operating cash flow and \$484M in FCF. The divergence is explained strictly from non-cash charges: \$163M of depreciation, \$134M of acquisition-related amortization, \$193M of goodwill impairment, and \$136M of stock-based compensation. Factoring these out, adjusted EBITDA moves to \$738M on \$3.72B of revenue.

2. Gross margin recovery is structural

Gross margin improved from 36.3% in FY2023 (Inventory destocking trough) to 41.3% in FY2025. This recovery is structural rather than cyclical for three reasons: (1) fab utilization is recovering as the smartphone inventory problem clears, (2) product mix is improving as the company shifts toward higher-margin defense and IoT revenue within HPA and CSG, (3) the manufacturing footprint rationalization (fewer facilities, common code/configuration) is yielding permanent cost savings.

3. Balance sheet has undergone a structural deleveraging from peak stress

Qorvo's net leverage trajectory is one of the most compelling aspects of the investment case. Net debt/EBITDA peaked at 2.73x in FY2023 – driven by EBITDA collapsing 70% during the smartphone inventory correction, not by new borrowing. Since then, the company has: (1) retired the entire \$439M current debt tranche in FY2025 reducing gross debt from \$1.99B to \$1.55B; (2) partially recovered EBITDA from \$454M to \$507M on a GAAP basis. Net leverage now stands at 1.04x. On the forecast trajectory (6% revenue growth expanding EBITDA margins), net leverage is expected to decline to 0.37x by FY2027, effectively eliminating the debt overhang that has weighed on the valuation since FY2022.

4. Skyworks merger provides asymmetric optionality and a valuation floor

The announced Skyworks/Qorvo merger at \$22B combined enterprise value creates a unique investment dynamic. The deal valued Qorvo at approximately 10.5x combined adj. EBITDA – a modest premium to standalone trough valuations, but with significant embedded optionality. If the deal closes with \$500M of synergies implemented, the combined entity's EBITDA would reach \$2.6B, and at a re-rated 12-14x multiple, the equity value attributable to Qorvo holders is \$145-\$160. If the deal breaks, Qorvo reverts to standalone trading, likely at 8-9x trough EBITDA, implying \$75-\$88.

Management Team and Board of Directors

Qorvo's current leadership team was substantially refreshed beginning in FY2023–FY2024, driven by board pressure following the operational missteps of the smartphone downcycle. Grant Brown was appointed as CEO in June 2023, replacing Bob Bruggeworth, who had led the company since the 2015 merger. Brown came from within the company, having served as CFO since 2022, and brings a strong financial discipline orientation to the role that reflects the board's prioritization of margin recovery and capital allocation over revenue growth at any cost. The CFO role is held by Dave Fullwood. The CFO transition and broader management refresh align the incentive structure with EBITDA margin expansion and FCF generation – the metrics most directly connected to shareholder value creation at this stage of the operating cycle.

The board of directors has also strengthened, with several independent directors added with deep semiconductor and RF industry backgrounds.

Valuation

	Base	Bull	Bear
	FY2027	FY2027	FY2027
Revenue	\$4,429,354	\$4,650,822	\$4,296,473
3yr Growth	19%	25%	16%
Adj. EBITDA	\$667,962	\$930,164	\$386,683
Margin	15%	20%	9%
FCF	\$1,127,323	\$1,555,929	\$852,790
Margin	25%	33%	20%
Conversion	169%	167%	221%
EBITDA Multipl	12	15	10
EV	\$8,015,539	\$13,952,465	\$3,866,826
Net Debt	\$465,535	\$422,188	\$519,719
Equity Value	\$7,550,004	\$13,530,277	\$3,347,107
Sh. Out.	91000	88270	91910
Price Target	\$82.97	\$153.28	\$36.42
Upside/Downsi	-22%	44%	-66%
IRR	-8%	13%	-30%
Risk/Reward vs	0.34	-0.67	

The base case assumes 6% annual revenue growth – consistent with the RF TAM growth rate and Qorvo's historical CAGR excluding the FY2024 inventory destocking year – and EBITDA margin expansion from 13.6% (FY25 GAAP) toward 22% by FY2027 as gross margins recover and impairment changes normalize. Applying a 12-13x exit multiple on FY2027 EBITDA (vs. the 9.7x trough and 10-year median of 12.5x) suggests a price target of \$87-\$105 on a standalone basis. Note that the standalone base case implies slight downside from current levels, reflecting that the current stock price already partially embeds merger optionality.

The bull case assumes the Skyworks merger closes in early FY2027 with \$500M of annual synergies confirmed. On a

combined basis, FY2027 EBITDA reaches approximately \$2.6B (combined + synergies), and at a re-rated 13-14x multiple – appropriate for a scaled, diversified RF leader – the equity value attribute to Qorvo holders reaches \$145-\$160, representing 36-50% upside from current levels. This scenario requires regulatory clearance across the US, EU, and China, and meaningful synergy execution within 24 months of close.

The bear case assumes a repeat of the FY2023 scenario: Apple accelerates in-house RF chip development or a second smartphone inventory correction materializes in FY2026-FY2027, causing EBITDA to compress to \$520M. Simultaneously, the Skyworks deal is blocked by regulators. On a standalone basis at 8-9x trough EBITDA less \$404M net debt, the implied stock price is \$43-\$50 – a 53-62% drawdown. Apple in-sourcing RF is a multi-year engineering challenge, and even in the event of a deal break, the underlying FCF generation (\$484M annually) limits catastrophic downside.

Risks

1. Apple in-sourcing RF is an existential concentration risk
2. Merger regulatory risk across three jurisdictions
3. Recurring goodwill impairment signals M&A underperformance
4. Semiconductor inventory cycles are severe and unpredictable

Financials

	2022	2023	2024	2025	2026	2027	2028	2029	2030
Revenue	\$4,645,714	\$3,569,399	\$3,769,506	\$3,718,971	\$3,942,109	\$4,178,636	\$4,429,354	\$4,695,115	\$4,976,822
Growth		-23.17%	5.61%	-1.34%	6.00%	6.00%	6.00%	6.00%	6.00%
Gross Profit	\$2,286,168	\$1,296,942	\$1,488,495	\$1,535,589	\$1,773,949	\$1,880,386	\$1,993,209	\$2,112,802	\$2,239,570
Margin	49.21%	36.34%	39.49%	41.29%	45.00%	45.00%	45.00%	45.00%	45.00%
SG&A	\$349,718.00	\$358,790.00	\$389,140.00	\$403,624.00	\$394,210.93	\$406,037.25	\$418,218.37	\$430,764.92	\$443,687.87
Margin	7.53%	10.05%	10.32%	10.85%	10.00%	9.72%	9.44%	9.17%	8.92%
EBITDA	\$1,524,158.00	\$453,553.00	\$668,794.00	\$506,604.00	\$702,484.00	\$791,017.02	\$831,665.62	\$875,664.85	\$923,213.74
Margin	32.81%	12.71%	17.74%	13.62%	17.82%	18.93%	18.78%	18.65%	18.55%
D&A	\$361,415	\$338,848	\$320,933	\$296,836	\$290,603	\$284,531	\$278,614	\$272,848	\$267,230
Margin	7.78%	9.49%	8.51%	7.98%	7.37%	6.81%	6.29%	5.81%	5.37%
Operating Inc	\$906,627	\$1,226,069	\$183,168	\$417,106	\$288,096	\$906,627	\$586,389	\$633,753	\$684,325
Margin	19.52%	34.35%	4.86%	11.22%	7.31%	19.52%	13.24%	13.50%	13.75%
Interest Exper	-\$63,326	-\$68,463	-\$69,245	-\$78,328	-\$79,111	-\$79,902	-\$80,701	-\$81,508	-\$82,324
EBT	1,181,084	\$124,629	\$73,560	\$65,899	\$411,881	\$506,486	\$553,052	\$602,817	\$655,984
Tax	-\$147,731	-\$21,477	-\$143,882	-\$10,284	-\$90,614	-\$111,427	-\$121,671	-\$132,620	-\$144,316
Net Income	\$1,033,353	\$103,152.00	-\$70,322.00	\$55,615.00	\$321,267	\$395,059.36	\$431,380.39	\$470,196.88	\$511,667.42
Sh. Out.	92915	98736	97,557	94920	93800	92300	91000	89500	88000
EPS	\$9.26	\$1.00	-\$0.72	\$0.60	\$1.55	\$3.20	\$4.15	\$4.65	\$5.10
FCF	\$1,076,798	\$22,059	\$343,936	\$552,888	\$561,737	\$630,760	\$662,451	\$696,775	\$733,890
Net Leverage	0.70	2.73	0.78	1.04	0.72	0.62	0.56	0.51	0.46